The Waterfront Brief

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If funding lapses on Dec. 12, nine private-yard repair jobs on one-year money can get no new funds unless their work is ruled excepted. Six of them are in Japan. The Navy's repair trades are back to their 2024 size, but new workers make up a smaller share of them than in any September since 2019. On Dec. 18 a law puts the surface fleet's admirals over the repair centers. Since March, a Navy acquisition office has said it leads them. Six dated items close the issue, from longer deployments to the March end of Japan's host-nation support agreement.

OPERATIONS MAINTENANCE & READINESS

A Dec. 12 lapse would stop new money for nine one-year ship repair jobs, six of them in Japan

A lapse on Dec. 12 would not stop ship repair. The public yards kept nearly everyone working in 2025, and contracted work can finish what is already funded. But it would cut off new funding to contracted jobs paid from one-year operations money, unless the work is ruled excepted. Nine such jobs in the Navy's April plan run across Dec. 11. Six are in Japan, and three of those end within ten days of that date.

The date comes from the stopgap. H.R. 6500 funds the government at fiscal 2026 rates through Dec. 11, 2026, unless a full-year bill comes first. By Dec. 12 Congress will have passed a full-year bill, another stopgap or neither. Tuesday's election shifted which of those each party prefers. Democrats won control of the House and the Senate, CBS News projected, and take over in January. The Center for Strategic and International Studies wrote on Oct. 28 that a stopgap into the new calendar year "could provide them with more leverage in budget negotiations." Under a stopgap, both the one-year operations money and the three-year procurement money keep flowing at last year's rate. October's ship repair awards went out under the current one, among them Thomas Hudner's docking.

A lapse treats the two kinds of money differently. The Defense Department's shutdown plan of Jan. 30, 2026, marked for planning purposes only, lets a contractor keep working "up to the limit of the funds obligated on the contract prior to the lapse." It allows no new increments of funding "unless the contractor is supporting an excepted activity." It also lets work paid from "unobligated, unexpired balances" continue, if every cost of that work, staff pay included, comes from those same accounts.

That rule favors the three-year Other Procurement line for ship maintenance. The Navy's fiscal 2027 procurement budget book says it pays for private contracted surface and submarine maintenance in the continental United States and "provides more flexibility to extend contract lead times." Fiscal 2026 money in it is available "until September 30, 2028," under the fiscal 2026 defense appropriations law.

The Navy's April plan shows which jobs would wait. The Navy's April 2026 operations budget book lists 31 ship availabilities planned to run across Dec. 11, 2026. Of the 29 at private yards, 20 are paid with three-year procurement money, all in the continental United States or Pearl Harbor. The other 9 are on one-year operations money: 6 in Japan (4 at Yokosuka and 2 at Sasebo); 1 at Rota, Spain; the submarine Hartford at Groton, Conn.; and the carrier George H.W. Bush in Virginia. In the 2013 lapse, a Fleet Forces spokesperson told USNI News that "no new contracts will be let and no new work will be added to the availabilities."

Three of the nine jobs are for ships that the USNI News Fleet and Marine Tracker of Oct. 26 listed in the Arabian Sea or the Indian Ocean: John Finn, Shoup and George H.W. Bush. Their start dates could move. John Finn is not due home until March, Defense One reported.

The House bill would cut the three-year line. The House Appropriations Committee's report on its fiscal 2027 defense bill would cut it from the Navy's $2.74 billion request to $2.28 billion, with the reason "Ahead of need." Congress enacted $2.39 billion for fiscal 2026, the budget book shows. The cut lands as deferred work comes due: USNI News reported on Sept. 23 that three ships' major availabilities were pushed from 2026 to

2027 and 18 smaller ones canceled. The same report said, “The shifts in availability will surge ships to private repair yards starting in early 2027 and into 2028.”

Our forecast: by Dec. 12 Congress passes a second stopgap running into the new year, with no lapse and no full-year defense bill. We put that at about 65 percent, and we’re wrong if Dec. 12 brings a full-year defense bill or a lapse. The case against: the same analysis found that in each of the last three midterm years, full-year defense appropriations “were passed prior to the end of the respective calendar year.”

We also expect the three-year line to end below the $2.74 billion request, and we put the chance of that at about 75 percent. A stopgap for the full year counts, since it holds the line at $2.39 billion. We’re wrong if an enacted full-year bill carries $2.74 billion or more. The two defense authorization bills, H.R. 8800 as passed by the House and S. 4784 as reported in the Senate, both match the request, but they provide no money.

WHY IT MATTERS

Bottom line: On any one-year-money job that runs past Dec. 11, get expected December and January growth funded on the contract before that date. A lapse adds no money unless the work is ruled excepted.

Sources: The public yards kept nearly everyone working in 2025; H.R. 6500; the House; the Senate; The Center for Strategic and International Studies wrote on Oct. 28; Thomas Hudner’s docking; The Defense Department’s shutdown plan of Jan. 30, 2026; The Navy’s fiscal 2027 procurement budget book; the fiscal 2026 defense appropriations law; The Navy’s April 2026 operations budget book; a Fleet Forces spokesperson told USNI News; the USNI News Fleet and Marine Tracker of Oct. 26; Defense One reported; The House Appropriations Committee’s report on its fiscal 2027 defense bill; USNI News reported on Sept. 23; H.R. 8800 as passed by the House; S. 4784 as reported in the Senate

WATERFRONT OPS & PRODUCTION

The Navy’s repair trades are back to their 2024 size, but the share with under two years’ service is the lowest of any September since 2019

Fewer than one in ten of the Navy’s government-employed repair trades workers have under two years of service, down from nearly one in five in 2024. That layer of helpers and trainees feeds the journeyman grades. GAO (Government Accountability Office) reported in August 2020 that “The workforce factor contributed to more than 4,000 days of maintenance delay on aircraft carriers and submarines during fiscal years 2015 through 2019.” GAO in 2016 named “workforce inexperience” among the challenges to finishing ship maintenance on time.

Outside hiring other than apprentices nearly stopped for four months in 2025. Our count of OPM’s (Office of Personnel Management’s) records shows 45 outside trade hires other than apprentices from March to June 2025. In the same four months of each year from 2019 to 2024, outside hires ranged from 343 to 768, and in 2026 they reached 645. Fiscal 2025 brought in 998 outside trade hires in all, fewer than half as many as any other fiscal year since 2019. The count covers the trades under Fleet Forces and Pacific Fleet, from the American civilians at the Japan repair facility at Yokosuka and Sasebo to the four naval shipyards and the regional maintenance centers.

The stop came during the hiring freeze. The Secretary of Defense’s memo of March 14, 2025 let the service secretaries approve hiring freeze exemptions. It said they “should use, and the DoD Component heads should request, exemptions to sustain the workforce at readiness-centric facilities including, but not limited to, shipyards.”

The records cannot say why hiring stopped. They cannot separate the freeze orders from a funded drawdown, and the Navy has not published when its shipyard exemptions took effect or how many hires they covered.

The headcount came back. The same records show the trades dipping to about 22,000 in March 2026 and ending this September within 100 of their 2024 size. Journeyman grades and above grew every September, from about 12,100 in 2019 to 14,400 this year. Entry grades fell from about 4,000 to 3,400 over the last two years, and apprentices on the rolls fell from 3,200 in 2019 to 2,000.

The bottom layer did not. Trades with under two years of service were 19.2 percent of the workforce in September 2024, 12.5 percent in September 2025 and 9.9 percent in September 2026, the lowest of any September since 2019. The newest class is coming back: 1,550 had under a year of service in September, against 867 a year earlier.

The fiscal 2026 defense authorization act ordered a class of “not fewer than 100 apprentices” at each Navy shipyard that year. OPM’s files withhold duty stations, so the classes cannot be counted by yard.

The budget paid for fewer people while the rolls refilled. The Navy's fiscal 2026 operations budget request, published in June 2025, cut 1,177 ship maintenance civilian positions "to optimize the workforce in compliance with Executive Order 14210." The Navy's fiscal 2027 operations budget book shows $223.6 million taken from fiscal 2026 ship maintenance civilian pay, in a line called "FY26 Projected Underexecution of Civilian Compensation."

As of June, no money had moved. The Pentagon comptroller's execution report as of June 30, 2026 shows nothing moved into or out of the $13.54 billion enacted for ship maintenance in fiscal 2026. In fiscal 2025, the Navy moved $499 million into ship maintenance by reprogramming, the year-end report published Jan. 16, 2026 shows.

We make two forecasts and give each about a 55 percent chance. First, the fiscal 2026 year-end execution report, due around January, will show ship maintenance obligations above the $13.54 billion enacted, as happened in fiscal 2025 when the Navy moved money in. Second, the September 2027 personnel snapshot will show the under-two-year share back above 12 percent. We're wrong if year-end obligations come in at or below $13.54 billion, or if the under-two-year share is 12 percent or less in September 2027.

> WHY IT MATTERS
> **Bottom line:** Plan the coming years' work on fewer new journeymen than the 2024 headcount suggests: the layer that feeds them, trades with under two years' service, is about half its 2024 share.

Sources: GAO (Government Accountability Office) reported in August 2020; GAO in 2016; Our count of OPM's (Office of Personnel Management's) records; The Secretary of Defense's memo of March 14, 2025; The fiscal 2026 defense authorization act; The Navy's fiscal 2026 operations budget request, published in June 2025; The Navy's fiscal 2027 operations budget book; The Pentagon comptroller's execution report as of June 30, 2026; the year-end report published Jan. 16, 2026

BUSINESS PRACTICES & STRATEGY

Two parts of one law, one set of repair centers

A defense law signed last December puts the surface fleet's admirals in charge of repairing surface ships, starting Dec. 18. The same law created a new kind of acquisition boss, and the Navy has since put the repair centers under one of them.

Both parts are in the fiscal 2026 National Defense Authorization Act, Public Law 119-60, signed Dec. 18, 2025.

The type commander law: what it says

Section 337, now 10 U.S.C. 8698, covers every surface ship not powered by a nuclear reactor. From Dec. 18, 2026, it says four things about the two surface type commanders:

- **The admirals are in charge.** The Secretary of the Navy must designate them "the primary authorities responsible for the maintenance, repair, sustainment, and readiness" of those ships.
- **The repair centers work for them.** The regional maintenance centers must "act under the direction of, and in support of, type commanders."
- **The admirals run private-yard work.** They oversee it, set priorities and approve the repair contracts.
- **Each ship's team reports to the admiral.** The commanding officer, the port engineer and the center's project manager may jointly decide the work within budget and schedule, and they "shall report directly to the type commander."

It has no end date. The Senate wrote it to fix what its committee called "diffusion of authority, responsibility, and accountability that has prevented timely decision making" (S. Rept. 119-39). The idea is older. A 2010 Navy review panel recommended it, and the Navy's 2017 Comprehensive Review recorded what happened next: "NAVSEA retains control of RMCs." Naval Sea Systems Command kept the regional maintenance centers.

The portfolio law: what it says

Section 1802, now 10 U.S.C. 1732, creates the portfolio acquisition executive, or PAE: the senior official over "a portfolio of capabilities," with authority over plans, budgets and execution, "including life-cycle management." Program managers report to their PAE, and each PAE gets dedicated staff, including contracting and engineering people. That staff may not be provided "through matrixed, collateral duty, or dual-reporting arrangements, except as specifically authorized by the Secretary concerned in writing."

It never mentions maintenance, shipyards, repair centers or the fleet's admirals, and it sets no deadline. The House and Senate negotiators wrote

that its support staff should sit "under the operational control of the PAE," while "administrative control of personnel" could stay elsewhere (joint explanatory statement, p. 379).

Side by side

One law says who runs a ship's repair: the fleet's admiral. The other says who runs an acquisition program: a PAE, with staff no one else shares. On paper they don't touch. They touch because of what the Navy did next.

What has happened since

On the portfolio side, a lot. The Pentagon memo Pete Hegseth signed on Nov. 7, 2025 ordered PAEs set up "as the single accountable official for portfolio outcomes." On March 16, 2026, the Navy announced five PAEs with authority "over associated technical, contracting, and sustainment functions," and added three more on May 11. Two of them reach surface ship repair. PAE Industrial Operations leads "the four Naval Shipyards and seven Regional Maintenance Centers" as "the Navy's single, accountable office for ship and submarine depot maintenance" (Defense Visual Information Distribution Service, Aug. 6). Rear Adm. Todd Weeks has led it, as interim, since August. PAE Maritime calls itself "the single accountable organization for delivering surface ships" and holds the office that plans surface ship maintenance. The Navy made these moves under the memo.

On the type commander side, nothing public. Through Nov. 2 we found no designation and no announcement in the news from the surface forces, NAVSEA, Fleet Forces or Pacific Fleet. Navy-wide administrative messages through number 263/26 carry none either. The official who must sign is an acting Secretary, Hung Cao, in the job since April 22. We found no news story on the law or its date.

In Congress, a proposed delay. The Senate committee's fiscal 2027 bill, S. 4784, would push the designation and the centers' new reporting line to Jan. 31, 2028. Its committee wrote that the portfolio executives' sustainment roles "have not been clearly described to the committee," and it orders a briefing by April 1, 2027. The bill is not law. Its delay leaves out the ship-level team, so that part starts Dec. 18 either way.

Where that leaves the repair centers (our analysis)

From Dec. 18, a regional maintenance center has two written lines above it. By law it works "under the direction of" the type commander, and by Navy choice it sits under PAE Industrial Operations. PAE Maritime also claims the planning. The pinch falls on the project manager, who works for a center under a PAE. One law tells that person to "report directly to the type commander." The other bars PAE staff from dual reporting unless the Secretary authorizes it in writing, and we found no such authorization. The Navy also has not said whether it counts the centers' people as PAE staff under that law; its March release cites only the Pentagon memo.

Because the conflict comes from a Navy choice, the Navy can fix it: the Secretary could authorize the dual reporting, or split control the way the negotiators described, with the admirals directing the work and the PAE keeping the people. The stake is decision speed. The CBO (Congressional Budget Office) found that maintenance on destroyers and amphibious ships often runs 20 to 100 percent longer than the Navy's final schedules, with late inspections and unexpected added work among the causes. Deciding what to do about late inspections and added work is exactly what both lines claim.

Open questions:

- Will the Acting Secretary designate the type commanders by Dec. 18? The order would appear on the Navy's issuances site.
- Does the Navy count the centers' people as PAE staff under the portfolio law, and if so, will it authorize their dual reporting in writing?
- Which office answers for a late surface ship?
- Does a final fiscal 2027 law carry the delay?
- Do the overseas centers fall under the law? The law's list "includes" four centers, all in the United States: Norfolk, San Diego, Mayport and Pearl Harbor. The Navy has seven: those four; the Northwest center at Puget Sound; and two overseas, the Forward Deployed Regional Maintenance Center in Naples and the Ship Repair Facility at Yokosuka (Government Accountability Office, GAO-20-86, p. 54; NAVSEA). Yokosuka has detachments at Sasebo and Singapore.

Where it goes: Our forecast: by Dec. 18 the Navy will not have published an order naming the type commanders, and through April 2027 the centers will still sit under PAE Industrial Operations. We

put the chance that both hold at about 70 percent. We also expect no fiscal 2027 defense authorization law by Dec. 18, so the date arrives as written; we put that at about 75 percent. The two authorization laws before last year's were signed on Dec. 22, 2023 and Dec. 23, 2024, and last year's was signed on Dec. 18 itself. We're wrong if an order naming them is published or a law moving the date is enacted by Dec. 18. We'll check on Dec. 21, 2026 and April 5, 2027.

WHY IT MATTERS

Bottom line: From Dec. 18 the ship-level team reports directly to the type commander, whatever happens to the Senate bill's delay. On any private-yard job that runs past Dec. 18, send the team's growth and priority decisions to the type commander in writing, so the record shows who decided when the two lines disagree.

Sources: Public Law 119-60; S. Rept. 119-39; 2017 Comprehensive Review; joint explanatory statement; Nov. 7, 2025; announced five PAEs; added three more on May 11; Defense Visual Information Distribution Service, Aug. 6; the single accountable organization for delivering surface ships; Hung Cao; S. 4784; Its committee wrote; found; issuances site; Government Accountability Office, GAO-20-86, p. 54; NAVSEA; Sasebo; Singapore; Dec. 22, 2023; Dec. 23, 2024

ON THE WATCH

Six things to watch

Ten- to 11-month deployments are the plan for a couple of years. USNI News reported on Oct. 29 that sailors deploying with carrier groups are told to expect 10 to 11 months. Getting back to seven will take "a couple years," it reported. In Japan, Defense One reported that John Finn's families were told to expect the ship next March, after 14 months away, and that Mustin's crew returns in April 2027. By our count, 7 of the 11 ships whose deployments passed 300 days had a yard period that the Navy's fiscal 2026 operations budget book scheduled to start before they came home. The fiscal 2028 book, due next spring, will be the first written since the Navy said long deployments are the plan.

The 2 percent cap on repairing U.S.-homeported ships abroad. Since December 2024, 10 U.S.C. 8680 has capped three kinds of work abroad: voyage repairs, repair of "damage sustained due to hostile actions," and short deployed maintenance. The cap is "two percent of the average annual total workload of that homeport," measured in shipyard labor hours. Ships homeported in Japan are outside the rule. No homeport's labor hours are public, and the annual foreign-repair report to Congress ended in 2021. Longer deployments mean more voyage repairs abroad counted against that cap.

Pearl Harbor's new submarine dock: December 2027 or March 2029. The Navy's fiscal 2027 military construction book shows construction complete in "Dec/2027" and says 11 availabilities "cannot be supported with the status quo through 2040 due to dry dock capacity." GAO reported that the Navy "expects to complete it by March 2029."

Four retired ships become the parts bin. Navy message NAVADMIN 099/26 makes Shiloh, Lake Erie, Germantown and John Ericsson "a primary means of cannibalization and equipment removal for ships," with removals "authorized without replacement." Nothing public yet measures what they supply.

The 80 percent goal falls due in 2027. The Navy's 2024 plan promised that "By 2027, we will achieve and sustain an 80 percent combat surge-ready posture for ships, submarines and aircraft" (USNI News). In January, Adm. Daryl Caudle said "None of the forces, not even our submarines, is at 80%."

Japan's host-nation support agreement runs out March 31, 2027. It covers Japan's fiscal 2022 through 2026 and funds labor costs for "23,178 people," Japan's Foreign Ministry said. Jiji Press reported in August that the two sides aim "to reach an agreement by the end of this year."

WHY IT MATTERS

Bottom line: Plan each 2027 yard period on the assumption that the ship returns from a 10- to 11-month deployment, and expect work booked on a seven-month return to start late.

Sources: USNI News reported on Oct. 29; Defense One reported; the Navy's fiscal 2026 operations budget book; 10 U.S.C. 8680; The Navy's fiscal 2027 military construction book; GAO reported; Navy message NAVADMIN 099/26; USNI News; Adm. Daryl Caudle said; Japan's Foreign Ministry said; Jiji Press reported in August

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The Waterfront Brief is compiled weekly by the B2 vault's research engine from primary sources and verified trade reporting. Scope: US shipbuilding, US Navy sustainment, and partners across the Indo-Pacific region; out-of-area items only when there is a direct, stated lesson. Freshness policy: every article's anchor source is under 12 months old; older material appears only as dated context or a flagged exception. A linked sentence means the named source says it, not that this desk has independently verified it. Corrections welcome; staged sources are retained for audit.

UPCOMING EVENTS

Nearest first, filling the page. **Bold** marks a decision that closes inside the next 60 days. NSRP is the National Shipbuilding Research Program, the industry-Navy body that funds shared shipyard process research; NSL is the Naval Submarine League; SAE is SAE International, which runs the Department of War Maintenance Symposium; SNA is the Surface Navy Association; DSI is the Defense Strategies Institute; NDIA is the National Defense Industrial Association; AFCEA is the Armed Forces Communications and Electronics Association and USNI the U.S. Naval Institute; AMPP is the Association for Materials Protection and Performance; ASNE is the American Society of Naval Engineers; the AMDA Foundation is the Australian body that runs the Indo Pacific exposition.

Dates	Event	Register by	Why it matters
Nov 12-13, 2026	Naval Submarine League Annual Symposium 2026, Arlington, VA (NSL)	To be posted	Submarine industrial base: the submarine force and its yards set the year’s priorities
Dec 8-11, 2026	Department of War Maintenance Symposium 2026, Fort Lauderdale, FL (SAE for DoW)	**Open; rates rise after Nov 7**	Maintenance execution: the department-wide depot maintenance meeting
Jan 12-14, 2027	SNA National Symposium 2027, Arlington, VA (SNA)	Not yet open	Program priorities: where the surface force states its maintenance priorities
Jan 26-28, 2027	Military Additive Manufacturing Summit (MILAM), Tampa, FL (DSI)	Early rate closed Oct 2	Additive qualification: defense additive qualification and NAVSEA-spec adoption
Feb 8-10, 2027	NDIA Annual Logistics Forum 2027, Renaissance Orlando at SeaWorld, Orlando, FL (NDIA)	Not printed	Supply chain: lifecycle sustainment and supply-chain community (the 41st forum)
Feb 16-18, 2027	WEST 2027, San Diego, CA (AFCEA/USNI)	Not printed	Program priorities: the Pacific-side sea services conference
Mar 23-25, 2027	NSRP All Panel Meeting 2027, North Charleston, SC (NSRP)	“Coming soon”	Regional capacity: where yard R&D ideas get teamed program-wide
Apr 4-7, 2027	Sea-Air-Space 2027, National Harbor, MD (Navy League)	Not yet open	Program priorities: the largest US maritime defense exposition
Apr 11-15, 2027	AMPP Annual Conference + Expo 2027, Columbus, Ohio (AMPP)	Abstracts closed Oct 1; attendee registration not printed	Preservation: the corrosion and coatings profession’s main event
Jun 8-10, 2027	MegaRust 2027, Hampton, VA (ASNE)	Attendee registration not yet open	Maintenance execution: the Navy corrosion event
Nov 2-4, 2027	Indo Pacific 2027 International Maritime Exposition, Sydney (AMDA Foundation)	Not published yet	Supply chain / policy engagement: the Pacific’s naval industry exposition; allied yards exhibit